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US Economics & Strategy

FOMC Reaction: Delivering on Promises

As expected, the Fed hiked rates at its June meeting, continues to expect one additional hike this year, and updated its official balance sheet exit strategy. We look for the Fed to skip hiking at its September meeting to officially announce balance sheet drawdown, then resume hiking in December.

Our key takeaways:

- Incoming data has broadly confirmed the Fed's outlook. As such, the FOMC voted to raise the target range of the federal funds rate by 25bp to 1.00% to 1.25%. This is the second of its three intended hikes in 2017.
- After today's action, the FOMC described the stance of policy as accommodative, which means it still feels (at this point) it can do more. The median path for the federal funds rate remained essentially unchanged—a firm promise the Fed expects to remain gradual in its removal of policy accommodation.
- The Fed also updated its [Policy Normalization Principles and Plans](#) to include more information on its expectation of how it will unwind its massive balance sheet. Sometime "this year" the Fed intends to set monthly caps on runoff of its Treasuries and agency MBS holdings. These caps will initially be set at \$6bn in Treasuries and \$4bn in MBS.
- Unless the incoming data deteriorate or financial conditions tighten sharply—in other words, if the Fed's outlook remains broadly intact—we look for the Fed to skip hiking at its September meeting to announce balance sheet drawdown (to begin in October), then resume hiking in December. We continue to look for 4 additional hikes in 2018.

Rates & MBS Market Reaction:

- Until better data is forthcoming, the Treasury market will continue to trade as if the Fed is making a policy error. Momentum in economic surprises, both at home and abroad, suggests that period could be months away. That means flatter policy rate curves, and that means we will keep on our Eurodollar curve flatteners. Given the degradation in the rolldown profile of our EDZ7/EDZ9 flattener, we suggest investors convert it into an EDH8/EDZ9 flattener.
- A combination of the Fed continuing to tighten, along with a third downside surprise in CPI inflation in a row - led to further tightening in breakevens, while real yields stayed high. This price action suggests

MORGAN STANLEY & CO. LLC

Ellen Zentner

ECONOMIST

Ellen.Zentner@morganstanley.com

+1 212 296-4882

Ted Wieseman

ECONOMIST

Ted.Wieseman@morganstanley.com

+1 212 761-3407

Robert Rosener

ECONOMIST

Robert.Rosener@morganstanley.com

+1 212 296-5614

Michel Dilmanian

ECONOMIST

Michel.Dilmanian@morganstanley.com

+1 212 761-3247

Matthew Hornbach

STRATEGIST

Matthew.Hornbach@morganstanley.com

+1 212 761-1837

Jay Bacow

STRATEGIST

Jay.Bacow@morganstanley.com

+1 212 761-2647

Guneet Dhingra, CFA

STRATEGIST

Guneet.Dhingra@morganstanley.com

+1 212 761-1445



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that the Fed is too hawkish, and likely moving towards a policy mistake. We continue staying in 5s10s breakeven curve steepeners as a proxy for being short breakevens.

- Mortgages were essentially unchanged as the tapering path was basically what we expected for mortgages, although the treasury tapering ends capped slightly higher than we thought. We maintain our current MBS underweight as we think rolls will deteriorate as the Fed steps away from the market.

US Economics

MORGAN STANLEY & CO. LLC

Ellen Zentner

Ellen.Zentner@morganstanley.com

+1 212 296-4882

Ted Wieseman

Ted.Wieseman@morganstanley.com

+1 212 761-3407

Robert Rosener

Robert.Rosener@morganstanley.com

+1 212 296-5614

Michel Dilmanian

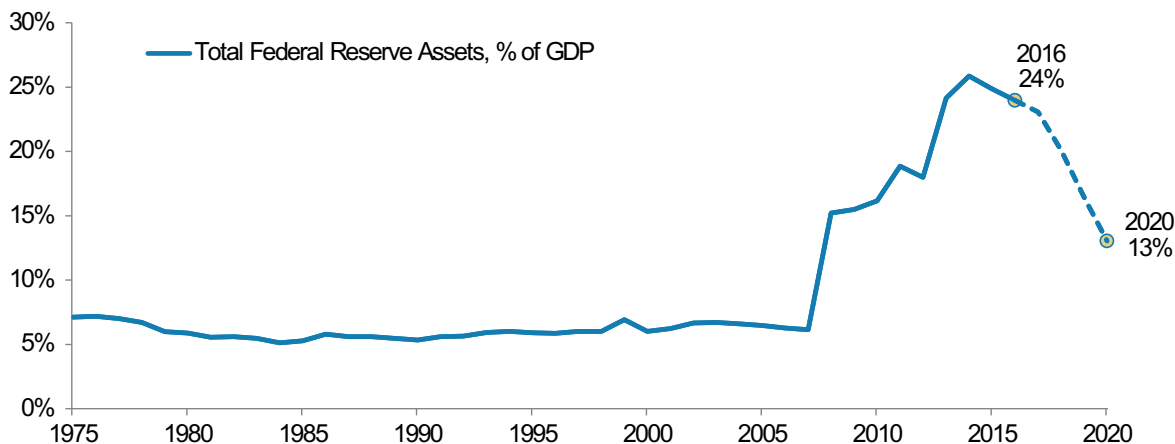
Michel.Dilmanian@morganstanley.com

+1 212 761-3247

Two down, one to go

At its June meeting, the Federal Open Market Committee (FOMC) voted to deliver the second of three hikes it has envisioned this year. On a backdrop of easy financial conditions and incoming data that have broadly confirmed its outlook, the Fed hiked in March, then again at the June meeting for those very same reasons. Unless the incoming data deteriorate or financial conditions tighten sharply, **we expect the Fed to deliver its third hike of this year at the December 12-13 meeting.** In the meantime, by updating its [Policy Normalization Principles and Plans](#), the Fed has paved the way to **announce balance sheet drawdown at the September 19-20 FOMC meeting.**

The Fed aims to set its balance sheet on a path of gradual and predictable reduction by imposing caps on the maximum monthly runoff of its Treasury and agency MBS holdings. These caps will initially be set at \$6bn for Treasuries and \$4bn for MBS (increasing gradually over time to a maximum runoff of \$30bn for Treasuries and \$20bn for MBS). An illustrative look at the balance sheet given the schedule the Fed has proposed would have the balance sheet coming down from ~\$4.5tn, or 24% of nominal GDP in 2016, to ~\$2.8tn by the end of 2020 ([Exhibit 1](#)).

Exhibit 1: An Illustrative Look at the Balance Sheet

Note: Assumes a 3.5% longer-run nominal GDP growth rate.
Source: Federal Reserve, Morgan Stanley Research

Don't "overreact" on inflation. Still...

Given that the Fed currently expects to begin balance sheet runoff sometime "this year" should the economy evolve "broadly" in line with its outlook, it seems close to a foregone conclusion that shrinkage will indeed commence this year. Hikes may be another matter. Though incoming data have more than confirmed the Fed's outlook for growth and unemployment, **near-term weakness in inflation is a thorn in its side**. [Exhibit 2](#) and [Exhibit 3](#) suggest that should our expected path for core inflation come true, inflation expectations are unlikely to turn higher in the near-term (see [Say hello to my "little pause"](#)). **This makes a September hike a hard sell**, and supports our continued expectation that the Fed will pause on hikes at its September meeting to give the balance sheet the stage, before resuming hikes in December as core inflation is rising.

Exhibit 2: Core PCE Makes Sep Hike a Hard Sell...

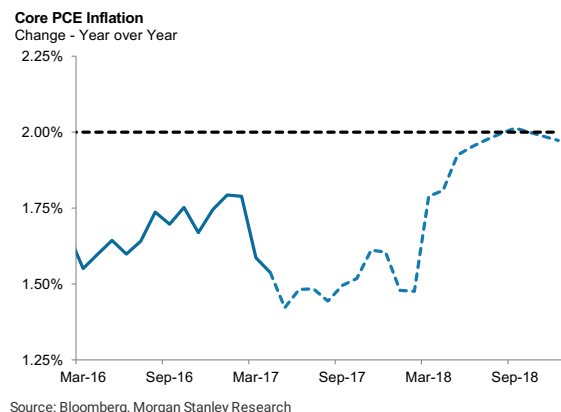


Exhibit 3: ...And Unlikely to Help Breakevens



Chair Yellen urged us not to "overreact" to the recent string of weak inflation data, but acknowledged policymakers have "taken note" and are "closely monitoring" inflation developments going forward. We believe economic theory is what's driving the Fed to look through the weakness in inflation—the strong labor market (in other words, low unemployment) should support the expectation that the "conditions are in place for inflation to move up." This theory was perfectly reflected in the Fed's [Summary of Economic Projections](#) (SEP) where the Fed marked-to-market its forecast for core PCE in 2017, but still showed inflation reaching its goal by playing catch-up in 2018.

Nevertheless, with growth tracking above potential and the unemployment rate below the level at which the Fed believes the labor market is fully engaged, incoming inflation data will likely be the key focus going forward. **Should the near-term weakness prove more persistent than transitory, it will be increasingly difficult for the Fed to convince financial markets that "June and done" was not the case at this meeting.**

US Rates Strategy

MORGAN STANLEY & CO. LLC

Matthew HornbachMatthew.Hornbach@morganstanley.com

+1 212 761-1837

Guneet Dhingra, CFAGuneet.Dhingra@morganstanley.com

+1 212 761-1445

Say hello to my "little pause"

In our opinion, the FOMC statement and accompanying materials did not go far enough to acknowledge the softness in realized inflation over recent months, nor did it go far enough to acknowledge the softening in nonfarm payroll growth. The Fed also suggested that it would go forward with balance sheet normalization as long as data were "broadly as anticipated."

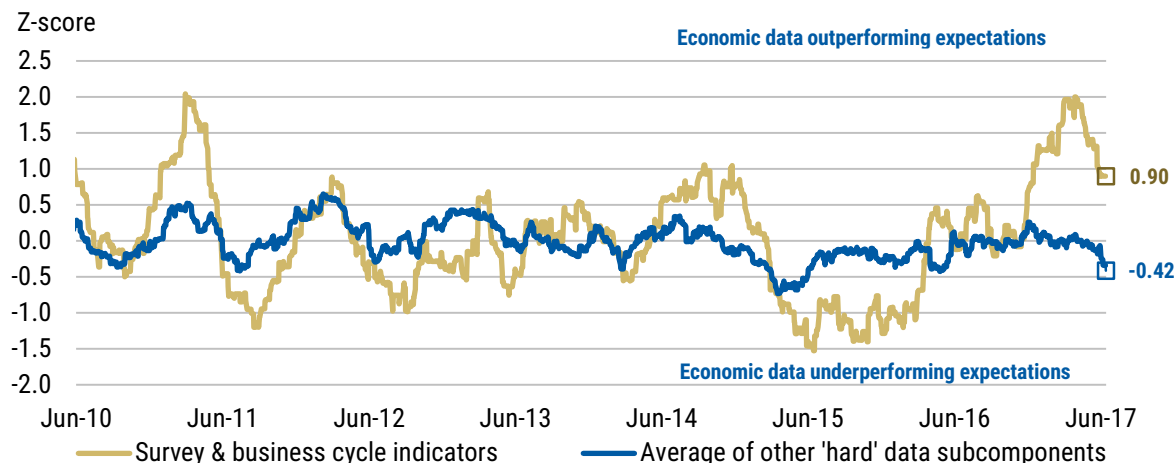
The Committee currently expects to begin implementing a balance sheet normalization program this year, provided that the economy evolves broadly as anticipated.

The last time the Fed used similar language was during the QE wind-down process in 2014 (see [December 2013 FOMC statement](#)). During that year, the Fed reduced the size of its monthly bond purchases at every meeting because, in its view, data "broadly support[ed] the Committee's expectation of ongoing improvement in labor market conditions and inflation moving back toward its longer-run objective."

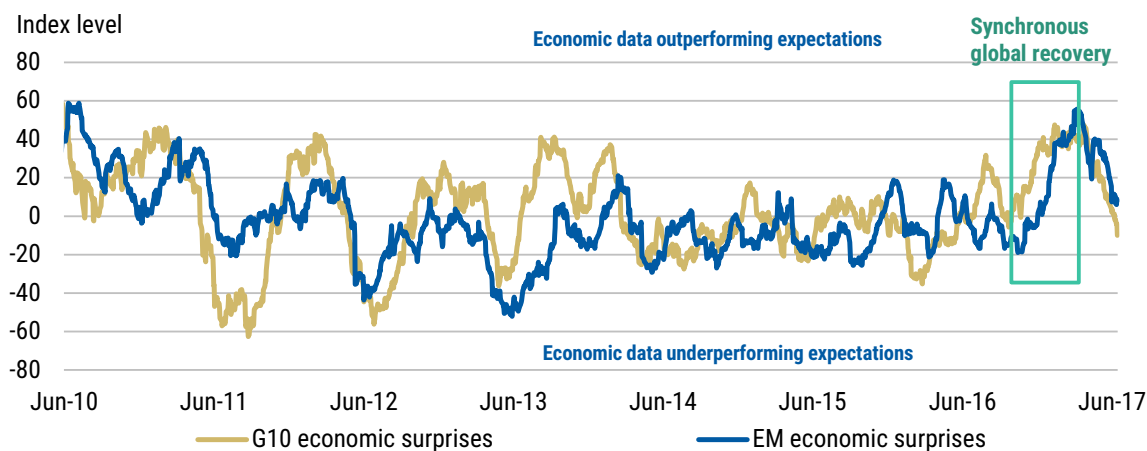
Our takeaway? The data would have to look recessionary for the Fed to hold off on normalizing the balance sheet this year. Our economists continue to favor a September announcement of balance sheet normalization, and that means to us that the "little pause" is coming. Despite this potential pause in the hiking cycle, we think investors will continue to see the Fed's intentions to tighten policy as a mistake.

And until better data is forthcoming, we think the Treasury market will continue to trade as if the Fed is making a policy error. Momentum in economic surprises, both at home and abroad, suggests that period could be months away (see [Exhibit 4](#) and [Exhibit 5](#)). That means flatter policy rate curves, and that means we will keep on our Eurodollar curve flatteners. Given the degradation in the rolldown profile of our EDZ7/EDZ9 flattener, we suggest investors convert it into an EDH8/EDZ9 flattener.

Convert EDZ7/EDZ9 curve flatteners into EDH8/EDZ9 flatteners at 0.445%

Exhibit 4: Bloomberg US economic surprise index: hard data vs. soft data surprises

Source: Morgan Stanley Research, Bloomberg

Exhibit 5: G10 and EM economic surprise indexes

Source: Morgan Stanley Research, Bloomberg

Extend and pretend, then normalize

As evidence of the Fed's willingness to overlook softness in recent data, the FOMC statement changed its reference to the period over which payrolls grew from "in recent months" to "since the beginning of the year." Effectively, the Fed dismissed the decline in the 3-month moving average of payroll growth, which declined from 200k at the March FOMC meeting to 121k at the June FOMC meeting, and is now focusing on the 6-month moving average (see [Exhibit 6](#)).

In the past, the Fed used this same strategy, whereby it refers to progress over a longer period of time in order to justify tightening policy. In this way, the statement comes off as hawkish to us. The Fed seems much more willing to overlook weak data in the interest of its outlook narrative than to overlook strong data - of which there hasn't been a plethora. As a result, the Fed pressed on with its plans to normalize the balance sheet, as we expected.

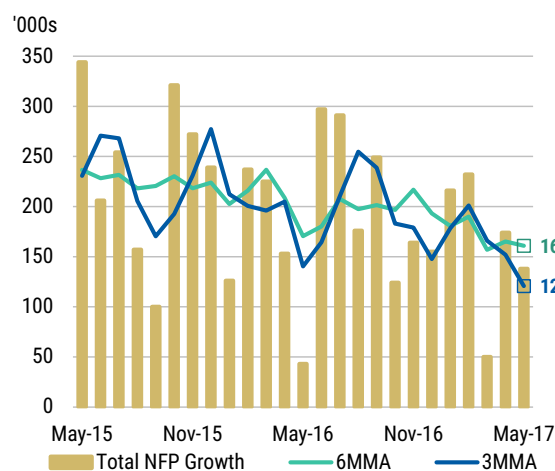
The next step in the regard was to update the Policy Normalization Principles and Plans with an [Addendum](#). The cap structure will work as follows:

For payments of principal that the Federal Reserve receives from maturing Treasury securities, the Committee anticipates that the cap will be \$6 billion per month initially and will increase in steps of \$6 billion at three-month intervals over 12 months until it reaches \$30 billion per month.

For payments of principal that the Federal Reserve receives from its holdings of agency debt and mortgage-backed securities, the Committee anticipates that the cap will be \$4 billion per month initially and will increase in steps of \$4 billion at three-month intervals over 12 months until it reaches \$20 billion per month.

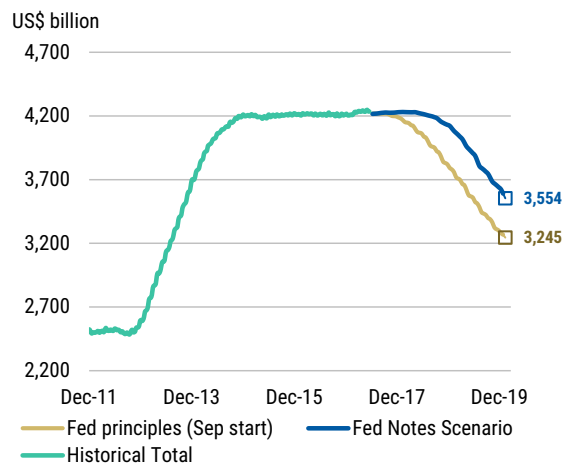
On the back of this, which was slightly different from our earlier expectations, we updated our SOMA portfolio projection in [Exhibit 7](#), and we now expect the balance sheet to decline to \$3.245 trillion by the end of 2019. Given this trajectory is not that different from what consensus has assumed, and given the probabilistic nature with which the market will price the normalization of the balance sheet, we don't expect the process to impact Treasury yields very much for now.

Exhibit 6: Total nonfarm payroll growth, 3m moving average and 6m moving average



Source: Morgan Stanley Research, BLS

Exhibit 7: Fed SOMA portfolio scenario analysis



Source: Morgan Stanley Research, Federal Reserve

Just as the market is assigning low odds to a Fed that hikes 3 times each year, as the dot-plot suggests, we expect the market to assign low odds to the balance sheet normalizing in a smooth fashion. After all, in the [addendum to the Policy Normalization Principles and Plans](#), the Fed suggests normalization may not occur without interruption:

However, the Committee would be prepared to resume reinvestment of principal payments received on securities held by the Federal Reserve if a material deterioration in the economic outlook were to warrant a sizable reduction in the Committee's target for the federal funds rate.

This statement suggests to us that, in the next downturn, the Fed would begin to cut rates, but would resume reinvestment before getting to the zero lower bound, (ZLB) though only if a "sizeable reduction in the Committee's target for the federal funds rate" was warranted. In terms of market pricing, this means the market would likely price in a return to the ZLB before pricing in a stabilization and then expansion of the balance sheet. And this should keep flattening pressure on the Eurodollar futures curve between the EDH8 and EDZ9 points, in our view.

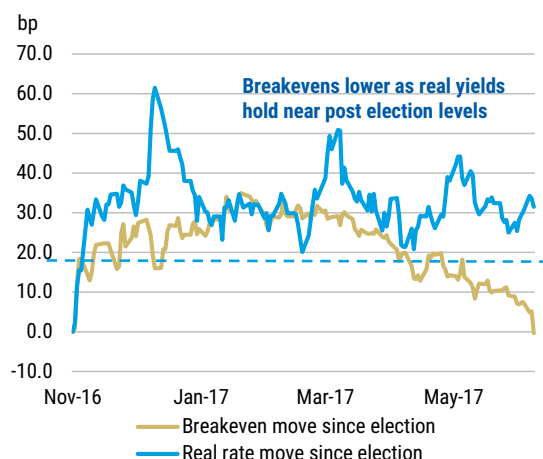
Pricing the policy error in the TIPS market

The Fed raised rates as expected and updated the balance sheet normalization principles as we had expected. However, as we have pointed out, the Fed's current stance has been perceived as overly hawkish relative to the inflation outlook. As we have been noting, the Fed's continued hawkish stance, with a backdrop of three downward surprises in inflation prints in a row has created this real rate vs. breakeven 'trade-off dynamic' in the market.

The trade-off dynamic was evident after the release of inflation data and the FOMC meeting on June 14th, where breakevens tightened while real yields were higher as CPI disappointed, while the Fed hiked rates and moved towards balance sheet reduction. Notably, inflation breakevens are now tighter than pre-Trump election, while real yields are higher (see [Exhibit 8](#)). This real-yield breakeven trade-off, along with nominal yields moving lower, suggests that the market is seeing the current Fed policy stance as a policy error.

Going forward, we continue to like our 5s10s breakeven curve steepener as proxy for staying short in breakevens. The carry profile on the trade has improved as being short 5-year breakevens is only modestly negative carry in June and positive in July.

Exhibit 8: 10-year real yields and breakeven since the US presidential election



Source: Bloomberg, Morgan Stanley Research

Exhibit 9: Carry on 5-, 10- and 30-year breakevens over the next few months

Month	Carry (bp) Per Month		
	Breakevens		
	5y	10y	30y
Jun-17 Stub	1.7	0.1	-0.2
Jul-17	-1.1	-0.7	-0.5
Aug-17	2.1	0.9	0.1
Sep-17	-4.2	-2.2	-1.0
Oct-17	-0.5	-0.4	-0.3
Nov-17	1.7	0.7	0.0
Dec-17	-3.6	-1.9	-0.9

Source: Bloomberg, Morgan Stanley Research

FOMC's view on inflation - Not calling a spade a spade

Chair Yellen's comments on characterizing inflation developments over the past few months, along with a very benign characterization of inflation misses surprised us. The Fed's views on the Phillips curve, on inflation expectations, and market-based measures of inflation compensation have not mirrored our conversations with investors.

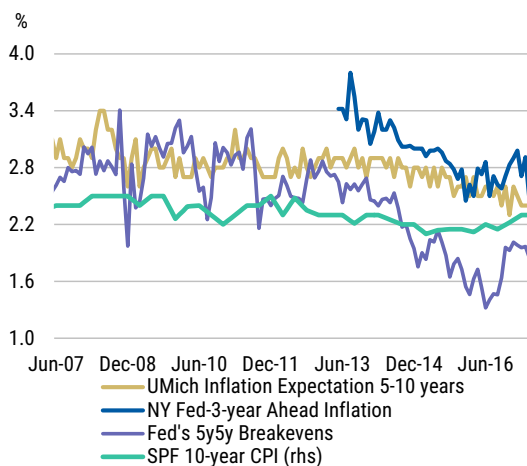
Inflation expectations: Fed chair Yellen said that she did not believe that there has been a "broad undermining of inflation expectations." [Exhibit 10](#) shows the decline in inflation expectations as seen from market-based inflation compensation measures as well as survey-based measures. We interpret the numbers as having declined meaningfully from their stable levels pre-2013.

We believe this drop in inflation expectations has been weighing on the inflation process, something chair Yellen believes carries a high weight in the inflation process, per her seminal speech on inflation dynamics in 2015.

The Phillips Curve: We found two different narratives on the Phillips curve in the Fed chair's press conference. First, Fed chair referred to the "Phillips curve being flat." In answering another question, she said that the Fed remained confident that the "conditions for higher inflation remain in place, given the tight labor market." We believe those two narratives are not consistent in specifying why the Fed remains confident in inflation moving higher.

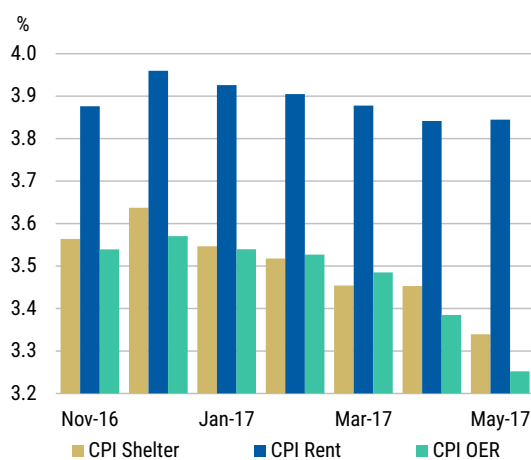
Additionally, as we have stated in the past, even if [the Phillips curve works](#) (and we have shown that it works for about half the CPI inflation basket), the Phillips curve alone is unlikely to be sufficient in taking inflation to 2%, given various other structural forces at play, which have weighed on inflation. These forces include (1) falling inflation expectations, (2) a structural dollar bull market over recent years, (3) overcapacity and oversupply issues and (4) and quality adjustments.

Exhibit 10: Inflation expectations measured using market-based measures and inflation surveys



Source: Bloomberg, Morgan Stanley Research

Exhibit 11: Move in y/y/ shelter CPI inflation over recent months



Source: Bloomberg, Morgan Stanley Research

Idiosyncratic forces do not explain it all. While it is fair to characterize the decline in cellular service charges and drug prices in CPI data as 'idiosyncratic factors,' it is not the complete reason for why inflation has been falling. For a start, shelter prices have moderated significantly since the start of the year, with the y/y rate falling from 3.64% in December 2016 to 3.34% in the May print.

Ex-shelter, ex-healthcare services (or 'core-core services') have also weakened considerably in the last few months. While we saw a move higher in this category after the US election in November, likely based on a surge in sentiment, this Phillips curve-sensitive part of the inflation basket has been subdued in the last three months, even if we ignore the downward move in cellular services adjustment in March.

Lastly, goods prices have been persistently weak over many years and continue to stay weak. Note that goods prices in CPI have exhibited some residual seasonality in the past few years, and the first half is typically the stronger half of the year. Going forward residual seasonality issues could further lower core inflation. Net, inflation has moved lower due to idiosyncratic forces, but also due to structural disinflationary forces in the last few months.

Is the Fed considering a higher inflation target?

Fed chair Yellen was asked about the possibility of a higher inflation target than the Fed's current 2% PCE target - in [a letter](#) submitted by a panel of economists. While we do not see this being an issue under immediate consideration (as Yellen suggested- see quotes below), it is nevertheless important to note this as part of the theoretical consideration for the Fed at a later stage. For now, Yellen concluded that the concept of a higher inflation target requires further research, and that the Fed would be attentive to what that research suggests.

"So, at the time we adopted the 2 percent target was back in 2012, we had a very thorough discussion of the factors that should determine what our inflation objective should be. And I believe that was a well thought out decision. Now, at the moment, we are highly focused on trying to achieve our 2 percent objective. And we recognize the fact that inflation has been running below, and its essential for us to move inflation back to that objective.

Now we've learned a lot in the meantime, and assessments of the likely level, currently and going forward, of the neutral federal funds rate have changed and are quite a bit lower than where they stood in 2012 or earlier years. And that means that the economy has the potential where policy could be constrained by the zero lower bound more frequently than at the time we adopted our 2 percent objective.

So, it's that recognition that causes people to think that we might be better off with a higher inflation objective. And this is one of our most critical decisions, and one we're attentive to evidence and outside thinking. It's one we will be reconsidering at some future time. And it's important for our decisions to be informed by a wide range of views and research which is ongoing inside and outside the Fed.

But a reconsideration of that objective needs to take account not only the potential benefits of a higher inflation target, but also the potential costs that could be associated with it. It needs to be a balanced assessment. But I would say this is one of the most important questions facing monetary policy around the world in the future. And we very much look forward to seeing research by economists that will help inform our future decisions on this."

MBS Strategy

MORGAN STANLEY & CO. LLC

Jay Bacow

Jay.Bacow@morganstanley.com

+1 212 761-2647

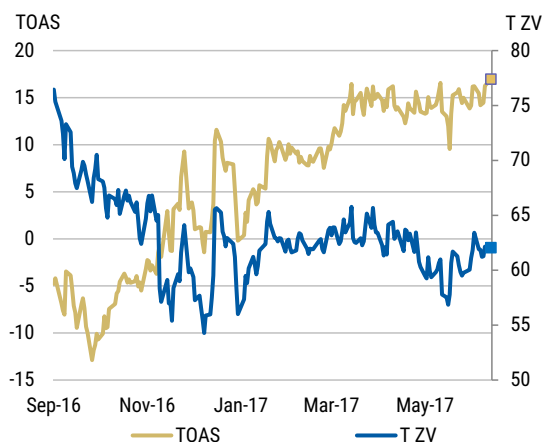
The changes to the Policy Normalization document were basically what we expected, though on the margin slightly mortgage-basis positive. As a reminder, we had expected caps of \$5bn MBS and \$5bn Treasuries initially, rising up to \$20bn MBS and \$20bn Treasuries. With the new released caps of \$4bn MBS and \$6bn Treasuries, going up to \$20bn MBS and \$30bn Treasuries, the difference over the course of rising to the caps will be \$30bn less MBS reduced than we expected and \$40bn Treasuries more than we expected once we get to the cap.

To formalize the numbers, to the forward interest rate path, we expect (assuming the caps are announced in the September meeting going into effect in October) that the Fed will reduce its mortgage portfolio by \$12bn in 2017 and \$168bn in 2018.

Also, with the Treasury cap \$10bn above the MBS cap, the Fed is somewhat buying MBS basis on the margin from a dollar perspective, as the Fed is reducing more Treasuries than mortgages over time. Selling somewhat more Treasuries should also mean that, on the margin, Treasury rates will be slightly higher and thus mortgage prepayments will be lower, meaning that the cap is less likely to be hit.

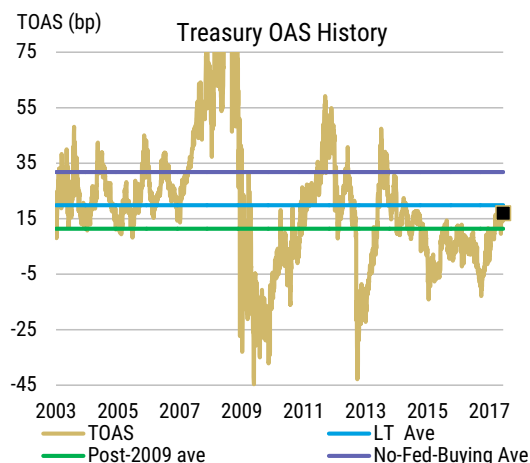
Mortgages did not react substantially to either the statement or the press conference; perhaps investors had a similar view as we did on the pace and composition of the balance sheet. With mortgage OAS at the wides of the past year ([Exhibit 12](#)), mortgages have priced in more of the balance sheet reduction than most other asset classes. However, in stepping back to the big picture ([Exhibit 13](#)) mortgages are near their long-term average on a TOAS basis, but about 15bps tight to levels when the Fed wasn't buying.

Exhibit 12: Mortgages are near their wides on a TOAS basis, though ZV is much tighter



Source: Morgan Stanley Research, The YieldBook

Exhibit 13: However, on a long term basis, TOAS is still close to fare



Source: Morgan Stanley Research, The YieldBook

While we don't think they go 15bps wider as the stock effect of the Fed owning \$1.75Tn mortgages should matter, there are a few mitigating circumstances. With more certainty around the composition of the balance sheet reduction, and now just a few questions on the timing (we're still calling for September, others may think December), we lay out the pros and cons on the basis below:

Pros to the basis:

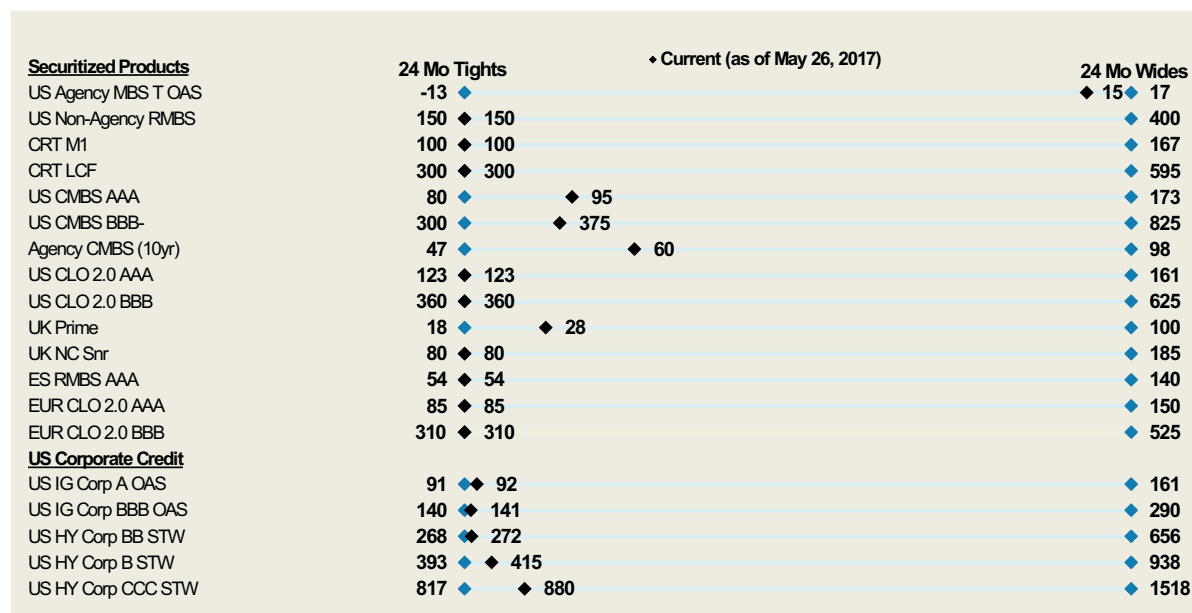
- Mortgages have underperformed most other spread assets, and the probability of an asset allocation trade is picking up ([Exhibit 14](#))
- Mortgages are near their three-year wides in TOAS
- Selling vol has been the right trade since the election, and now that the Fed has laid out its game plan, many catalysts for spread widening have mitigated

Cons to the basis:

- Spreads are still tight to longer-term historical levels for when the Fed wasn't buying
- 2018 will be the first time in decades that a government-like entity hasn't been easily able to buy mortgages, be it either GSEs, Treasury, or the Fed.
- Carry on agency MBS after accounting for duration and embedded vol shorts is flat-to-negative on most TBAs, and will likely worsen as the Fed will be taking less of the most negatively convex bonds out of the market
- Supply is running quite high at \$132bn in just the first five months, and recent regulatory proposals from the Treasury could in the longer term ease credit conditions, causing even more issuance
- Recent regulatory proposals from the Treasury could reduce bank demand for MBS due to changes in both LCR and SLR

Wrapping it all together, we view today's news as slightly positive vs. our expectations for the mortgage basis. We think mortgages will likely see wider levels over the summer as investors start to completely price in the Fed starting to taper and rolls cheapening (perhaps another 10bps), but unless corporates widen, that could be the wides, and we would recommend going overweight at those spreads.

Exhibit 14: 24 month spread history of various asset classes - mortgages have underperformed



Source: Morgan Stanley Research, Bloomberg. Note: US Agency MBS spread is TOAS for FNCL 3.0; US non-Agency MBS spread refers to generic legacy Alt-A senior paper; CMBS and Agency CMBS spreads expressed as spreads to swap rate and the rest as spreads to Libor/Euribor. European CLO 2.0 DMs reflect the market-implied forward Euribor curve floored at 0%. All spreads in bp. Current spreads are as of May 26, 2017.

Other US Economics and Rates Strategy Research

[Global Rates Mid-Year Outlook: Toward Smaller Balance Sheets \(09 June 2017\)](#)

[US Economics Mid-Year Outlook: Aging Gracefully \(04 June 2017\)](#)

[US Interest Rate Strategy: Pricing the Pace of Rate Hikes \(04 April 2017\)](#)

[Global Strategy Mid-Year Outlook: Climbing the Last Wall of Worry \(04 June 2017\)](#)

Trade Ideas

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Duration and Curves				
Trade	Entry Level	Entry Date	Rationale	Risks
Short 10y UK real yields	-1.92%	2-Feb-17	Gilt BMI is bearish, 10y sector is likely to sell off most, 10y UK breakevens very rich	Yields fall on worse economic data, breakevens stay rich due to UK pension fund demand
Receive 2y2y AUD (vs. 3s) vs. USD	29bp	27-Jan-17	The Fed is priced to hike around ~50bp this year, whereas the RBA is priced for less than a full hike, but beyond that, the outlook for the RBA is actually more aggressive than that of the Fed. This provides for attractive vol-adjusted rolldown in the belly of the AUD curve	The risk to the trade is that US rates outperform AUD rates, which could happen if Australian data recovers, while commodity prices continue to head north, and/or US data disappoints and US belly rates outperform
Long Jan-45 Jul-65 vs. Dec-55 Gilts	-9bp	6-May-16	Position has positive carry roll and convexity pick-up	Idiosyncratic price action and declining volatility
Long Jan-60 vs. Dec-55 Gilt	0.4bp	29-May-15	We think the convexity value of ultra longs is underpriced	Idiosyncratic price action and declining volatility
Buy 2y JGB ASW	-20bp	18-Nov-16	Attractive rolldown and the short-end JGBs would be well supported by BoJ	Domestic banks' profit-taking to offset their loss from foreign bonds portfolio
Buy 2y JGB (JN375) outright	from -15bp	31-Mar-17	Valuation seems to be very cheap	Further dramatic reduction of BoJ purchase in 1-3y
Sell EDH8 vs EDZ9	44.5bp	14-Jun-17	We expect recent weak data to continue moderating investor expectations of hikes. Our historical analysis shows that, even if policymakers do not expect a pause, they may very well have to pause as the cycle gets longer in the tooth.	Medium-term risks include progress on the type of fiscal stimulus that markets believe will keep rate hikes on a steady pace higher than where markets currently imply.
Enter Long Schatz ASW	64bp	21-Apr-17	A mainstream French election win allows ECB to renormalise policy affecting swaps more than the cash-Bund curve	ECB expanding its repo programme to reduce collateral scarcity
Receive Jun-18 Eonia	-30bp	28-Apr-17	Market pricing in more ECB rate hikes sooner than we think is likely	ECB rhetoric turns more hawkish, stronger inflation data.
Apr-20-46 DBRI real yield steepener	117bp	5-May-17	Reflects bearish duration stance carries positively	General decline in yields globally
Enter JGB 7s20s flattener	62bp	19-May-17	20y JGB would be supported by banks' aggressive demand, while futures has the room for further downside, given CTA's bad long positions	CTA try to add the new long position in JGB futures. Banks take profit on their 20y holdings.
Gilt 2s10s flattener	105bp	5-May-17	Bullish view on UK duration but hedging risk of rising MPC rate expectations	Long-end supply, general rates sell-off given valuations are not cheap

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STOCK RATING CATEGORY	COVERAGE UNIVERSE		INVESTMENT BANKING CLIENTS (IBC)			OTHER MATERIAL INVESTMENT SERVICES CLIENTS (MISC)	
	COUNT	% OF TOTAL	COUNT	% OF TOTAL IBC	% OF RATING CATEGORY	COUNT	% OF TOTAL OTHER MISC
Overweight/Buy	1146	35%	298	41%	26%	560	37%
Equal-weight/Hold	1411	44%	333	46%	24%	679	45%
Not-Rated/Hold	59	2%	8	1%	14%	8	1%
Underweight/Sell	616	19%	87	12%	14%	262	17%
TOTAL	3,232		726			1509	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months.

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